

**IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLORADO
Honorable Marcia S. Krieger**

Civil Action No. 09-cv-00019-MSK-MEH

UNITED STATES OF AMERICA,

Plaintiff,

v.

CEMEX, INC.,

Defendant.

**CEMEX INC.'S MOTION TO STRIKE NEW EXPERT REPORTS OF PLAINTIFF'S
EXPERTS VENNER AND WESTLIN AND NON-REBUTTAL MATERIALS
SUBMITTED BY PLAINTIFF'S EXPERTS FOX AND GREER, AND REQUEST FOR
EXPEDITED BRIEFING**

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INTRODUCTION

Plaintiff, the United States of America, has far overstepped the latitude granted by the Court to file rebuttal expert disclosures. This Court's May 25, 2011 Minute Order (**#134**) granted Plaintiff leave to submit rebuttal reports by June 24, 2011. Based on the allowable scope of rebuttal evidence under the Federal Rules, as well as Plaintiff's assurances in its motion for leave to file those reports, such rebuttal should have been confined to evidence and analysis directly disproving or contradicting CEMEX's experts' opinions. As is now apparent, Plaintiff took the Court's latitude in allowing rebuttal as permission to add new opinions, theories, experts, and evidence—all of which it should have disclosed four months ago with its initial expert disclosures. Pursuant to Fed. R. Civ. P. 26(a)(2) and 37(c)(1), such expert materials not timely disclosed must be stricken from the record to prevent undue burden and prejudice to CEMEX.

Plaintiff's filing of this impermissible evidence so near to the close of expert discovery greatly complicates the Court's schedule for this case. Moreover, the new opinions introduced by Plaintiff on rebuttal vastly expand the technical complexity and scope of contested evidence at issue in expert discovery and the case in chief. These late disclosures, should they be allowed to stand, will necessarily lead to delays in the completion of expert discovery, and a much more burdensome and complicated trial. Indeed, CEMEX has already been prejudiced by the diversion of resources necessary to analyze Plaintiff's improper rebuttal materials and prepare this motion, and accordingly has no option but to seek a stay of discovery pending resolution of this motion to strike.

CEMEX complied with its obligation to meet and confer with opposing counsel regarding CEMEX's concerns with these rebuttal materials during a July 1, 2011 telephone conference and related emails that followed. Plaintiff therefore has been on notice of this motion and its primary contentions for more than a week. Accordingly, an expedited briefing schedule

to address Plaintiff's impermissible rebuttal materials would not be prejudicial. CEMEX respectfully asks this Court to grant Plaintiff ten days to respond to this motion, and five days for CEMEX to reply.

CERTIFICATION OF CONFERRAL PURSUANT TO D.C.COLO.LCivR 7.1.A.

CEMEX's counsel conferred with counsel for Plaintiff on July 1, 2, and 12, 2011, regarding the relief requested in this motion. Counsel for Plaintiff indicated that Plaintiff opposes CEMEX's motion to strike and to serve sur-rebuttal expert reports, but does not oppose a reasonable request by CEMEX to extend expert discovery deadlines to accommodate a resolution of those matters subject to CEMEX's motion.

Pursuant to D.C.COLO.LCiv.R 6.1(E), undersigned counsel has served a copy of this motion upon its client and the client has consented to the relief sought herein.

BACKGROUND

Pursuant to the January 5, 2011 Minute Order (#123) revising the deadlines in the Second Amended Scheduling Order, Plaintiff was to disclose its experts and produce expert reports by March 1, 2011. On that date, Plaintiff produced reports of three experts: Dr. Phyllis Fox, Walter Greer, and Dr. Ranajit Sahu.¹ CEMEX timely responded with disclosures of its own experts on May 10, 2011.² On May 23, 2011, Plaintiff submitted a motion to the Court requesting leave to file rebuttal reports, which were not allowed under the controlling Scheduling Order. *Docket*

¹ *Expert Report of Phyllis Fox, Ph.D., PE, on behalf of the United States of America*, March 1, 2011 ("*Fox Initial Report*"), attached hereto as Exhibit A; *Expert Report of Walter L. Greer, on behalf of the United States of America*, March 1, 2011 ("*Greer Initial Report*"), attached hereto as Exhibit B.

² *Expert Report of Kevin Davis, Ph.D., on behalf of CEMEX, Inc*, May 10, 2011 ("*Davis Report*"), attached hereto as Exhibit C; *Expert Report of John E. Hofmann, on behalf of CEMEX, Inc.*, May 10, 2011 ("*Hofmann Report*"), attached hereto as Exhibit D; *Expert Report of Gerald L. Young, on behalf of CEMEX, Inc.*, May 10, 2011 ("*Young Report*"), attached hereto as Exhibit E.

#131. Relying on Plaintiff's statements regarding the scope of the rebuttals, CEMEX did not oppose that motion. The Court granted leave for these rebuttal reports. *Docket #134.*

On June 24, 2011, under the guise of "rebuttal" expert submissions, Plaintiff produced disclosures from two new experts, Dr. Bradley Venner and Peter Westlin, and rebuttal reports from all three of its previously disclosed experts.³ Of those, all but the rebuttal submitted by Dr. Sahu violated the permissible bounds of rebuttal materials. For example, Plaintiff introduced a Ph.D. statistician for the first time—Dr. Venner—even though none of CEMEX's designated experts are statisticians nor raised complex statistical issues. Also, Plaintiff introduced another new expert, Mr. Westlin, to expand on Dr. Fox's theory regarding performance of emission monitoring equipment from 2000-2001. Further, Dr. Fox, whose previous 30-page report was confined to a legal and permitting based discussion, took on several new topics in her voluminous 60-page "rebuttal," including a critique of the March 1997 oxygen test,⁴ new analysis of extensive sets of materials and data not cited in her initial report, and serious new allegations of misrepresentations by CEMEX related to its permitting of the projects at issue.

³ *Expert Rebuttal Report of Phyllis Fox, Ph.D., PE, on behalf of the United States of America*, June 24, 2011 ("Fox Rebuttal Report"), attached hereto as Exhibit F; *Excerpt from Exhibit 1 to Fox Rebuttal Report, from Excel sheet titled "1998,"* ("Fox Rebuttal Exhibit 1 Excerpt"), attached hereto as Exhibit G; *Excerpt from Exhibit 2 to Fox Rebuttal Report, from Excel sheet titled "1998_1999"* ("Fox Rebuttal Exhibit 2 Excerpt"), attached hereto as Exhibit H; *Expert Rebuttal Report of Walter L. Greer, on behalf of the United States of America*, June 24, 2011 ("Greer Rebuttal Report"), attached hereto as Exhibit I; *Expert Rebuttal Report of Bradley Venner, Ph.D., on behalf of the United States of America*, June 24, 2011 ("Venner Rebuttal Report"), attached hereto as Exhibit J; *Expert Rebuttal Report of Peter R. Westlin, on behalf of the United States of America*, June 24, 2011 ("Westlin Rebuttal Report"), attached hereto as Exhibit K.

⁴ Oxygen enrichment is one of the core projects at issue in this case. CEMEX conducted two controlled tests of the effect of oxygen enrichment at the Lyons facility—one in March 1997 and one in April 1998. Because these tests each recorded the amount of NOx generated when oxygen enrichment was used, they are directly relevant to an assessment of whether this technology caused an increase in NOx emissions as alleged by Plaintiff. In fact, Plaintiff identified the March 1997 oxygen enrichment test as the very first matter for examination in its Fed. R. Civ. P. 30(b)(6) notice to CEMEX. *United States' Notice of F.R.C.P. R. 30(b)(6) Deposition to CEMEX, Inc.*, attached hereto as Exhibit L, at Schedule A, i.

Similarly, Mr. Greer expanded his opinions to include additional critiques of the March 1997 and April 1998 oxygen tests and expounded on areas that he admitted were “not previously mentioned in these discussions.” Allowing these experts’ impermissible rebuttal materials to stand will add a new dimension of complexity and burden to both expert discovery and trial, and severely prejudice CEMEX.

Plaintiff can offer no justification for submitting new opinions, new expert evidence, and new reliance materials more than 90 days after its initial expert disclosures were due. Pursuant to Fed. R. Civ. P. 26(a) and 37(c), CEMEX respectfully requests that the Court strike the untimely expert disclosures of Dr. Venner and Mr. Westlin and any reference thereto, strike all portions of the new reports submitted by Dr. Fox and Mr. Greer that go beyond true rebuttal of CEMEX’s experts, and restrict their testimony accordingly. In the event that the Court denies the request to strike, CEMEX respectfully requests that the Court grant CEMEX leave and sufficient time to file sur-rebuttal reports to address these new expert disclosures.

This Court has extended the expert discovery deadline four times (**#102, 114, 123, 134**), most recently in response to the United States’ Unopposed Motion for Leave to Serve Rebuttal Expert Disclosures on Defendant and to Modify Scheduling Order (**#131**). For further explanation of these modifications, see the United States’ Memorandum in Support of Unopposed Motion for Leave to Serve Rebuttal Expert Disclosures on Defendant and to Modify Scheduling Order (**#132**) at 2-3.

LEGAL STANDARD

Fed. R. Civ. P. 26(a)(2)(C) mandates that a party must make its expert disclosures “at the time and in the sequence that the court orders.” Fed. R. Civ. P. 37(c)(1) provides that “[i]f a party fails to provide information or identify a witness as required by Rule 26(a) ... the party is not allowed to use that information or witness to supply evidence on a motion, at a hearing, or at a trial, unless the failure was substantially justified or is harmless.” Parties that do not comply

with these disclosure requirements face mandatory sanctions. *See Wolf Creek Ski Corp. v. Leavell-McCombs Joint Venture*, No. 04-cv-1099-JLK-DLW, 2008 WL 920134, at *1 (D. Colo. Apr. 3, 2008) (the appropriate sanction of excluding non-disclosed evidence “is mandatory unless the non-disclosing party shows substantial justification or that the failure to disclose was harmless”); *see also 103 Investors I, L.P. v. Square D. Co.*, 372 F.3d 1213, 1217 (10th Cir. 2004); *Cook v. Rockwell Int’l Corp.*, 223 F.R.D. 598, 600 (D. Colo. 2005).

The law in the Tenth Circuit is well settled that rebuttal reports must be narrowly confined to actual rebuttal arguments—and not contain new opinions or reliance materials. Rebuttal evidence is narrowly confined to that which attempts to disprove or contradict the evidence it is contrasting. *Tanberg v. Sholtis*, 401 F.3d 1151, 1166 (10th Cir. 2005). It is “*not any evidence an aggrieved litigant may wish to admit in response to a topic* introduced by his opponent.” *Id.* (emphasis added). A “supplemental report that . . . seeks to ‘strengthen’ or ‘deepen’ opinions expressed in the original expert report exceeds the bounds of permissible supplementation and is subject to exclusion under Rule 37(c).” *Cook v. Rockwell Int’l Corp.*, 580 F. Supp. 2d 1071, 1169 (D. Colo. 2006); *see also Sil-Flo, Inc. v. SFHC, Inc.*, 917 F.2d 1507, 1515 (10th Cir. 1990) (trial court properly excluded plaintiffs’ expert rebuttal testimony regarding damages where the “proffered rebuttal testimony was really an attempt by Sil-Flo, Inc. to introduce or interpret exhibits more properly part of its case in chief”); *Daberkow v. United States*, No. 06-cv-01282-REB-MEH, 07-cv-02477-REB-MEH, 2008 WL 4755852, at *5 (D. Colo. Oct. 29, 2008) (precluding untimely disclosed expert testimony because “failure to properly disclose these experts’ opinions prevented defendant from having an expert of its own review the new opinions to rebut them”).

Plaintiff’s rebuttal reports violate the clear requirements of Rule 26(a)(2)(B). The new opinions, strengthened arguments, and new cited materials indisputably make these “new” reports that should have been previously disclosed. Plaintiff has offered no reasonable

explanation as to how these belated disclosures—coming more than 90 days after its March 1, 2011 disclosure deadline and so close to the end of expert discovery—could be either substantially justified or harmless. Nor can it. The offending reports (or portions thereof) must be stricken from the record pursuant to Rule 37(c).

ARGUMENT

I. The Rebuttal Reports Submitted By The Plaintiff Contain New Opinions And New Materials Not Contained In Its Original Expert Disclosures

When the Plaintiff moved this Court to allow the submission of rebuttal reports, it assured the Court that “Plaintiff’s expert rebuttal disclosures, *which will speak directly to issues raised by CEMEX’s expert reports*, cannot be said to be in bad faith nor can they be construed as prejudicial to CEMEX.” *Docket #132* at 6 (emphasis added). Notably, Plaintiff argued that allowing these rebuttal reports would not prejudice CEMEX since the additional disclosures would comport with Rule 26’s provisions requiring updates to initial disclosures within 30 days, and that the parties had already agreed that any expert who submitted a rebuttal report would be made available for two days of additional deposition. *Docket #132* at 4-5. No mention was made of new, heretofore undisclosed experts, and how their addition would not prejudice CEMEX—perhaps because such arguments could not have been made in good faith.

A review of the “rebuttal” reports filed on June 24, 2011 demonstrates that Plaintiff instead disclosed both new opinions and two new experts—with reports designed to introduce new concepts supporting the government’s case in chief, instead of rebuttal opinions addressing CEMEX’s experts’ reports. Moreover, these new opinions and reliance materials raise complex factual and technical issues that will further complicate what is already an extremely burdensome matter for the Court and CEMEX. Had Plaintiff fully apprised CEMEX of its intent regarding the scope of the rebuttal disclosures, CEMEX would have vigorously contested Plaintiff’s motion. But such intent was not shared with either CEMEX or the Court. Whether premeditated

or not, Plaintiff's bait-and-switch should not be rewarded, and these offending reports and portions must be stricken from the record.

A. Dr. Venner's Opinions Are Entirely New And Must Be Stricken In Their Entirety

Dr. Venner is a Ph.D. in Biostatistics. None of CEMEX's experts are statisticians by education or practice, other than to the extent basic statistical analyses are conducted in the course of their professions. The Plaintiff's late disclosure of a new expert witness to which CEMEX's existing experts cannot meaningfully respond is the paradigm of impermissible rebuttal testimony. If Plaintiff had intended to use statistics as part of the foundation for its case against CEMEX, a statistician should have been disclosed by the March 1 expert disclosure deadline. This failure forecloses it from adding one at this late date.

Plaintiff cannot claim that the addition of Dr. Venner and his new opinions are appropriate rebuttal. First, Dr. Venner's rebuttal report discussed a wide range of statistical theories and concepts that were not raised by any of CEMEX's experts. For example, part of his report pertains to the statistical concept of "specificity" (the first time any expert has mentioned this concept) in the context of the March 1997 oxygen test. To criticize that test under this concept, Dr. Venner used new criteria to select specific data points from a set of 1998 emissions data—data that was previously available to the Plaintiff's experts but never analyzed in this way. Exhibit J, *Venner Rebuttal Report* at 11. He then analyzed this data set "by creating a variable that broke the time into 22 evenly-spaced periods with roughly 336 hourly observations per period." *Id.* at 11. Again this new approach to creating data sets for comparative analysis was not previously disclosed. Dr. Venner went on to "calculate the shifts between time periods from the differences in the averages within each time period and calculated the probability *using the standard propagation of errors method.*" *Id.* (emphasis added). None of the experts in this case previously discussed or relied upon the concepts of calculating shifts between periods or the

“standard propagation of errors method.” His report even opined upon several other advanced statistical theories that would require high level expertise in statistics to analyze and refute.⁵

Second, the only “statistical” analysis presented by CEMEX’s experts was a Student’s t-test for Unpaired Independent Samples, and an analysis of variance (ANOVA). Exhibit D, *Hofmann Report* at 5-15, 5-16, Appendix D. These basic statistical tests are commonly used by engineers and permitting experts—and do not rise to the level of requiring a Ph.D. in statistics. For example, Dr. Fox, the Plaintiff’s purported permitting expert and an engineer, performed an ANOVA analysis as part of her first expert report. Exhibit A, *Fox Initial Report* at 19 (“Curve fitting plus an analysis of variance indicates no statistically significant relationship”); *id.* at Appendix D, Exhibit 2 at 2 (showing ANOVA analysis). Instead of relying on Dr. Fox to rebut Mr. Hofmann engineer to engineer, the Plaintiff added Dr. Venner, a Ph.D. in statistics, who introduced new concepts and professional statistical models not previously mentioned let alone relied upon by either party’s experts.

Plaintiff often relies on complex statistical analysis in environmental enforcement cases to support its case in chief. Based on the allegations of its complaint, Plaintiff was on notice that the emissions data was highly relevant to its allegations—requiring that any theories criticizing CEMEX’s data should have been disclosed in Plaintiff’s initial reports. However, as Plaintiff is unquestionably experienced in such enforcement cases, its decision to not present a statistical

⁵ See, e.g., Exhibit J, *Venner Rebuttal Report* at 12 (“One statistical model for long-memory processes is the auto-regressive fractionally integrated moving average process (ARFIMA). I fit this model using the routine *fracdiff* from the *fracdiff* package. . . . The model with the best fit, as measured by Akaike’s Information Criteria, was a fractionally integrated model with a single auto-regressive parameter.”); *id.* at 18 (“the single variable with the greatest relationship . . . is ‘Kiln Feed Temp’ . . . as determined by an automated variable selection routine *regsubsets* from the *leaps* package as implemented in the R programming language. The relationship between this variable and NOx emissions is visibly non-linear, and in a quadratic regression model the quadratic term was statistically significant.”).

expert in the initial disclosures was presumably intentional.⁶ Because Plaintiff did not raise complex statistical analysis in its initial expert opinions, CEMEX did not identify an expert statistician for this matter. Locating, engaging and preparing a new expert to respond to Dr. Venner would take time, money, and substantial effort. Accordingly, if Dr. Venner is allowed to remain as Plaintiff's expert statistician, CEMEX will be forced to expend scarce resources preparing its own rebuttal statistician when the parties are supposed to be focusing on expert depositions and the close of expert discovery. Further, if both sides designate statisticians as experts, the complexity of this case will expand exponentially—in a way Plaintiff initially determined was not necessary to help prove its case in chief. Such a burden is neither small nor harmless at this late stage in the case. Accordingly, Dr. Venner and his opinions must be stricken in their entirety from the record.

B. Mr. Westlin's Opinions Are Entirely New And Must Be Stricken In Their Entirety

The thrust of Mr. Westlin's rebuttal report is an analysis of whether CEMEX's emission reporting equipment was functioning properly in the years 2000 and 2001. This is ground that was already covered in the initial disclosure of Plaintiff's expert Dr. Fox, to which CEMEX directly responded. As CEMEX did not introduce or rely upon any new evidence not already available to Dr. Fox, the introduction of Mr. Westlin at this late stage goes well beyond the bounds of permissible rebuttal submissions.

Mr. Westlin's analysis is based on record information that was available to Plaintiff well before it submitted its initial expert reports, and pertains to an issue that Dr. Fox already analyzed for Plaintiff. In her March 1 report, Dr. Fox decided to use emission estimates that assumed the equipment was operating properly in 2000 and 2001. Exhibit A, *Fox Initial Report*

⁶ CEMEX notes that Dr. Venner was presumably available to Plaintiff from the outset of this case, as Dr. Venner works for the United States Environmental Protection Agency, National Enforcement Investigations Center. Exhibit J, *Venner Rebuttal Report* at 1, 4.

at 11 n.31, 19 n.66. She cited to one deposition transcript and two documents in support of that assertion. CEMEX's expert, Mr. Hofmann, performed a similar level of analysis, and decided to use emission estimates that assumed the equipment *was not* operating properly in 2000 and 2001. He cited to the same deposition and one of the same documents as Dr. Fox, as well as one of the Fed. R. Civ. P. 30(b)(6) depositions of CEMEX, in support of his position—no new information was introduced or relied upon. Exhibit D, *Hofmann Report* at 3-2 to -4. Mr. Hofmann even went so far as to state that he “did not review actual CEMs data, raw data, DAS logic and correction factor, or RATA, etc.” for this analysis. *Id.* at 3-4. Thus, both Dr. Fox and Mr. Hofmann relied solely upon the record to support their respective uses of different emission estimates for 2000 and 2001.

Plaintiff's newly proffered expert, Mr. Westlin, went much further. His report is based on actual expert analysis that is similar, if not identical, to the types of analyses Mr. Hofmann expressly stated that he was *not* performing as part of his report, *and that Dr. Fox chose not to perform in support of her initial report*. See Exhibit K, *Westlin Rebuttal Report* at 13 (“Using the emissions concentration and flow values reported for this RATA . . . I calculated the mass emission rates, lb/hr, for each run and the relative accuracy results in units of mass emissions rate.”). This fact alone demonstrates that Mr. Westlin's report is not intended to rebut the conclusions of Mr. Hofmann, but rather to alter Plaintiff's case in chief.

Further, Mr. Westlin reached a different conclusion than Dr. Fox's first report. Dr. Fox initially used emission estimates that assumed that CEMEX's monitoring equipment was operating properly for *all of 2001*. Exhibit A, *Fox Initial Report* at 19 n.66; *id.* at Appendix D, Exhibit 2 at 1 (showing emissions estimate for 2001 as 2,362 tons of NO_x). Mr. Westlin subsequently opined that the equipment was not operating properly for *most, but not all, of 2001*. See Exhibit K, *Westlin Rebuttal Report* at 16. This new theory alters the emissions estimates originally adopted by Dr. Fox and the Plaintiff. Making matters even worse, Dr. Fox appears to

have adopted Mr. Westlin's new conclusion in her rebuttal report. *See* Exhibit F, *Fox Rebuttal Report* at 15 n.70 (citing to Westlin's new analysis); *id.* at Figure 3 (showing emissions estimate for 2001 below 2,300 tons of NO_x, compared to the estimate of 2,363 tons in her initial report).

Mr. Westlin has been involved in this case for some time prior to his disclosure as a rebuttal expert witness. On November 9, 2010, he attended the deposition of one of CEMEX's former employees, Gregory Wright—four months before Plaintiff's expert disclosures were due. *Excerpt from Deposition of Gregory C. Wright*, attached hereto as Exhibit M, at 1. If the Plaintiff intended to use Mr. Westlin to provide these opinions to support its case, there is no justification for its failure to timely disclose Mr. Westlin by March 1, 2011.

Accordingly, all of Mr. Westlin's opinions could have been disclosed by March 1, 2011. The Plaintiff chose not to do so, and should now be foreclosed from ambushing CEMEX with a new expert strategy. Consequently, Mr. Westlin and his expert disclosure must be stricken in their entirety from the record.

C. Dr. Fox's Rebuttal Report Contains New Opinions And New Materials Not Contained In Her Original Report That Must Be Stricken

Dr. Fox's purported "rebuttal" report is not only double the length of her original disclosure, but it contains more than a dozen new figures and graphs. Much of this consists of extensive discussion intended to reiterate and strengthen her previous opinions—not to directly address or rebut the opinions of CEMEX's experts. Additionally, she added a new critique of the March 1997 oxygen enrichment test based on kiln amps, posited a new theory to recalculate CEMEX's emissions from 1998 and 1999, and engaged in new extensive analysis of kiln ID fan speeds. Under the Federal Rules and Tenth Circuit law, all of that must be stricken.

One of more obvious examples of an opinion that reached well beyond permissible rebuttal is the change in Dr. Fox's estimated emissions for 1998 and 1999. Exhibit F, *Fox Rebuttal Report* at 15-16. The heart of this case is a determination of whether certain projects caused emission increases—projects that the complaint alleges occurred between 1997 and 1999.

See Docket #16 at ¶¶ 57, 65; see also *id.* at ¶ 53 (“This action focuses on a modification Defendant undertook at its Facility between 1997 and 1999[.]”). Dr. Fox’s entire initial report was dedicated to an analysis of emissions involving this time period. Yet, she waited until her rebuttal report to set forth a new theory that the emission estimates she relied on in her initial report needed to be both rehabilitated through a “data substitution” technique and substantially revised upwards:

My analysis in Exhibit 2 indicates NOx emissions of **1,803 tons** in 1998 (compared to 1,507 tons estimated by CEMEX) and **2,232 tons** in 1999 (compared to 1,974 tons estimated by CEMEX).

Exhibit F, *Fox Rebuttal Report* at 16 (emphasis in original). But see Exhibit A, *Fox Initial Report* at Appendix D, Exhibit 1 at 1 (listing 1998 emissions as 1,507.3 tons of NOx and 1999 emissions as 1,973.7 tons of NOx); *id.* at Appendix D, Exhibit 1 at 2 (same); *id.* at Appendix D, Exhibit 2 at 1 (same).

In other words, Dr. Fox changed the emission estimates she relied upon for these two years by approximately 300 and 250 tons of NOx, respectively. The relevant threshold for purposes of this matter is 40 tons of NOx per year. Thus, this change fundamentally alters a critical aspect of the Plaintiff’s initial expert disclosures, and impacts a correspondingly large portion of CEMEX’s experts’ analysis and response to Plaintiff’s initial disclosures. Moreover, to apply her new theory to change these emission estimates, Dr. Fox compiled two new exhibits with over 17,000 line items of emissions data, using information from over 1,800 pages of documents she did not cite in her initial report. Exhibits G and H, *Fox Rebuttal Exhibits 1 and 2 Excerpts*.⁷ These data had to be cross-referenced against other contemporaneous records to implement Dr. Fox’s data substitution theory—an extremely time-consuming and burdensome

⁷ Dr. Fox’s rebuttal report contained three exhibits in excel file format. CEMEX is moving to strike the first two. Given the voluminous nature of these exhibits when converted to pdf, CEMEX created exhibits with extracts from selected sheets in each excel file, Exhibits G and H. These extracts demonstrate there are over 17,000 rows of data in each sheet.

task for CEMEX to attempt to verify, analyze, and rebut.⁸ Such drastic changes on core issues should not be permitted at this late stage.

Similar to her new analysis of emissions for 1998 and 1999, Dr. Fox added new analysis of ID fan speed data, citing to *over 8,000* pages of Daily Operations Reports to support her new analyses on this topic that she did not cite to in her initial report. Exhibit F, *Fox Rebuttal Report* at 26, n.116. It would be extraordinarily burdensome for CEMEX to respond to these new opinions based on such large amounts of data at this late stage of expert discovery.

Dr. Fox also added a new criticism of the March 1997 oxygen enrichment test to her report based on kiln amps and kiln feed hood temperature—a test she did not even touch upon in her initial report. Exhibit F, *Fox Rebuttal Report* at 40-44. And she added new analysis of NOx emissions, clinker production, and oxygen data from 1998 to indirectly attack the March 1997 test. Exhibit F, *Fox Rebuttal Report* at 44-46. All of the data used to develop these new opinions were available at the time of her initial disclosure.

Finally, Dr. Fox developed and opined about a new “misrepresentation” theory to support her regulatory analysis. Under this theory, she posited that CEMEX provided “incomplete information” to CDPHE, *see* Exhibit F, *Fox Rebuttal Report* at 48, “misrepresented both the timing and purpose of oxygen injection,” *id.* at 50, “only gave CDPHE an incomplete picture of the actions it was taking,” *id.* at 52, “did not disclose to CDPHE the clinker production increase or any of the projects that had already been completed,” *id.* at 53, “used two sets of facts – one for permitting and one to implement its internal expansion plans”, *id.* at 52, and “[i]n short, . . .

⁸ CEMEX is skeptical that this analysis was not completed well before Plaintiff’s initial expert disclosures were due. In light of the considerable effort that would be required to complete this data substitution analysis, as well as the numerous other extensive analyses, figures, and data compilations in Dr. Fox’s rebuttal report, it seems highly probable this analysis was substantially complete *before* March 1, 2011, making this late disclosure all the more egregious.

implemented a ‘deliberate decision to split an otherwise ‘significant’ project into two or more smaller projects to avoid a PSD review.’” *Id.* She summarized her new opinion as follows:

The record above reflects what can reasonably be interpreted as a deliberate decision to split an otherwise significant project into two or more smaller projects (one being the changes to the raw materials handling system and the other being the changes to the kiln and changes that debottlenecked the kiln) to avoid PSD review.

Exhibit F, *Fox Rebuttal Report* at 55. This entire misrepresentation theory relates to whether CEMEX appropriately permitted the projects at issue in this matter—a topic that was the *sole focus* of Dr. Fox’s initial report. See Exhibit A, *Fox Initial Report* at 4 (“I have assessed the applicability of PSD requirements to a collection of physical and operational changes made at CEMEX’s Lyons Plant between 1997 and 2000.”). Dr. Fox’s initial report addressed whether CEMEX appropriately permitted all aspects of these projects, *but failed to provide any indication* that she believed CEMEX’s permitting was somehow based on “misrepresentations” or “deliberate decisions” to split the project permitting:

Although some of the debottlenecking changes were issued minor source permits in 1998 . . . none of these permitting actions considered the increase in NOx emissions from changes at upstream and downstream processing units that debottlenecked the pyroprocessing unit or the changes at the pyroprocessing unit itself.

Id. at 6; see also *id.* at 12 (“Here, CEMEX did not prepare a permit application, and the changes identified in Table 1 were not permitted for NOx.”); *id.* at 27 (“CEMEX never permitted the increase in NOx emissions from the pyroprocessing unit, either when modified or when the upstream and downstream units were debottlenecked.”).

Thus, despite the extensive discussion in her initial report of the same projects, the same permitting actions undertaken by CEMEX, and the same PSD regulations, Dr. Fox waited until her rebuttal report to make new, caustic allegations (allegations that she has no expertise to make). Under Rule 26, CEMEX should have been advised in the Plaintiff’s initial disclosures

that Dr. Fox held this provocative opinion related to *the* core issue in this case—PSD applicability. The Plaintiff’s decision to withhold this new opinion until its rebuttal report is a clear violation, and must be stricken.

Accordingly, CEMEX requests that the following opinions and specific sections of Dr. Fox’s rebuttal report (Exhibit F), and all references or other sections relying thereon, be stricken as a mandatory sanction for exceeding the bounds of acceptable rebuttal material:

- New emissions estimate for 1998 and 1999: Page 3 (second paragraph reference to “corrected for missing data in 1998 and 1999”), page 4 (first paragraph) including Figure 1, page 15 (starting with second paragraph), page 16, Figure 4 on page 17 (including reference to Figure 4 in the first paragraph on page 17), page 34 (last full paragraph), page 35 (first paragraph), and Exhibits 1 and 2;
- New analysis of ID fan speed: Page 26 starting with first full paragraph and including Figure 7, page 27 including Figure 8;
- Reliance on report of Mr. Westlin: Page 3 (second paragraph reference to “CEMEX’s improper moisture correction in 2000 and 2001”) and n.13, page 4 (first paragraph) including Figure 1, page 15 (first full paragraph) including Figure 3, page 16 (second paragraph), Figure 4 on page 17 (including reference to Figure 4 in the first paragraph on page 17), page 36 (fourth full paragraph);
- New analysis of March 1997 oxygen enrichment test: Pages 40 (starting with second full paragraph) through 46 (through first paragraph), including Figures 10-14, pages 47 (starting with second full paragraph) through 48 (through first full paragraph);
- “Misrepresentation” theory: All of Section VIII.B, pages 48-56.

D. Mr. Greer’s Rebuttal Report Admittedly Contains New Opinions And New Materials Not Contained In His Original Report That Must Be Stricken

Mr. Greer’s “rebuttal” report violates the permissible scope of rebuttal testimony in several significant ways. For example, he opined for the first time in rebuttal about the

relationship between carbon monoxide (CO) and nitrogen oxides (NOx) with respect to the March 1997 calciner modification. Exhibit I, *Greer Rebuttal Report* at 2-10. Mr. Greer already discussed that same March 1997 calciner modification in his initial expert report. Exhibit B, *Greer Initial Report* at 26-28. At that time, he described how the calciner modification was intended to address a “process anomaly, referred to by Plant personnel as ‘burnover’, in which a small but problematic amount of residual carbon monoxide would exit the combustion chamber and burn in the preheater.” *Id.* at 26. Mr. Greer waited until rebuttal to disclose a new theory on this same topic that he believes supports his conclusions, as he candidly admitted:

Not previously mentioned in these discussions of potential effects of these projects is the fact that for some calciner kilns, if carbon monoxide (CO) emissions decrease, then NOx emissions increase[.] The reason is because the poor combustion conditions that produce CO and “burnover” also produce the free radicals that react with NOx and destroy it.

Exhibit I, *Greer Rebuttal Report* at 9 (emphasis added). This *admittedly new opinion* violates the permissible scope of rebuttal reports and should be excluded.

Additionally, Mr. Greer added a new critique of the March 1997 oxygen enrichment test based on the relationship between kiln amps and temperature, Exhibit I, *Greer Rebuttal Report* at 18-19, and several new critiques of the April 1998 oxygen enrichment test including one based on kiln amps and kiln feed hood temperature, *id.* at 20-23. Both of these tests were discussed at length in Mr. Greer’s initial report, but none of these alleged criticisms were ever mentioned. Exhibit B, *Greer Initial Report* at 40-45.

Accordingly, CEMEX requests that the following opinions and specific sections of Mr. Greer’s rebuttal report (Exhibit I), and all references or other sections relying thereon, be stricken as a mandatory sanction for exceeding the bounds of acceptable rebuttal material:

- New opinion re relationship between CO and NOx related to the calciner modification:
Page 9, first paragraph;

- New criticisms of March 1997 oxygen enrichment test: All of Section 5, ages 18-19, including Figure 5-1;
- New criticisms of April 1998 oxygen enrichment test: Page 21, Page 22 (up to but not including the first full paragraph that begins “All three of CEMEX’s expert”, but including the last paragraph that begins with “In Section 3.1”), page 23 (through end of section 6).

II. The Plaintiff’s Additional Reports And New Opinions Are Neither Substantially Justified Nor Harmless

Plaintiff cannot demonstrate that the belated disclosure of these two new experts and new opinions from its two other experts are substantially justified or amount to harmless error. Courts in the Tenth Circuit recognize that prejudice inherently befalls a defendant confronted with the untimely disclosure of a plaintiff’s expert opinion after the close of discovery. See *Farris v. Intel Corp.*, 493 F. Supp. 2d 1174, 1178 (D.N.M. 2007) (finding that defendant would be prejudiced by the inclusion of an expert report disclosed after the close of expert discovery because defendant was “unable to offer a report in which its expert can analyze the statements made by [plaintiff’s expert]”).⁹ Accordingly, the Tenth Circuit has adopted the following multi-factor test when determining “substantial justification” or “harmlessness”: (1) the prejudice or surprise to the party against whom the testimony is offered; (2) the ability of the party to cure the prejudice; (3) the extent to which introducing such testimony would disrupt the trial; and (4) the [violating] party’s bad faith or willfulness. *Jacobsen v. Deseret Book Co.*, 287 F.3d 936, 953

⁹ The Tenth Circuit is not unique in this approach. See *Coal Creek Mining & Mfg. Co. v. James River Coal Serv. Co.*, 11 Fed. Appx. 548, 551 (6th Cir. 2001) (affirming district court’s exclusion of expert testimony where defendant would face “prejudice ... in that discovery would have to be reopened to obtain evidence responsive to plaintiff’s late-disclosed expert testimony”); *Campos v. MTD Products, Inc.*, No. 2:07-CV-00029, 2009 WL 2252257, at *11 (D. Tenn. July 24, 2009) (“it would clearly be harmful for the defendant to rely on the plaintiff’s expert disclosures for many months and then have to respond to completely new reports disclosed many months after the deadline”).

(10th Cir. 2002) (quoting *Woodworker's Supply, Inc. v. Principal Mut. Life Ins. Co.*, 170 F.3d 985, 993 (10th Cir. 1999)). In this case, CEMEX will suffer incurable prejudice if these new opinions and experts are allowed to stand as the final (and only) word on new topics and materials that should have been raised during Plaintiff's initial disclosure window.

Whether Plaintiff's submissions were a willful violation of Rule 37 is at issue. Plaintiff was well aware of the March 1, 2011 deadline for disclosure of experts, and understood that rebuttal reports were only allowed with the express permission of the Court—granted only after it moved for permission to file. *See Docket #132*. Notably, in that motion it acknowledged that the controlling scheduling order did not provide for rebuttal reports. *See Docket #132* at 1. The government's two new experts and theories were available and should have been advanced by the original expert report deadline—not four months later.

Moreover, Plaintiff's addition of new opinions and strengthened opinions for its previously disclosed experts will certainly disrupt the current progression of the case. Dr. Fox and Mr. Greer's new opinions do not merely supplement their prior disclosures. These disclosures introduce new issues to support the government's case in chief. Dr. Fox's Exhibit 2 indicates for the first time that she is adopting a new theory to develop revised emission estimates for 1998 and 1999. Mr. Greer admits that his theory on CO and NO_x had “not been previously mentioned in these discussions.” And both Dr. Fox and Mr. Greer develop an entirely new theory to criticize the March 1997 oxygen test. Plaintiff persuaded the Court that there was exceptional cause to allow rebuttal reports not initially allotted for in the Scheduling Order, but has taken this opportunity to have a second bite at the apple. Allowing these new opinions to stand would require that CEMEX be allowed a similar second bite—which is exactly the sort of back-and-forth that Rule 26 was meant to avoid.

Notably, Rule 37 places no burden on CEMEX to demonstrate that it will actually suffer prejudice from Plaintiff's untimely expert disclosures. The burden is solely on Plaintiff—and

that burden is to demonstrate that its wrongdoing is harmless or substantially justified. *Nguyen v. IBP, Inc.*, 162 F.R.D. 675, 680 (D. Kan. 1995) (“The burden of establishing substantial justification and harmlessness is on the party who is claimed to have failed to make the required disclosure.”). Moreover, as courts in the Tenth Circuit have recognized, the relevant “question is whether the failure to disclose was harmless or, in other words, if there is prejudice to [defendant] as the party entitled to the disclosure.” See *Beneficial Living Sys., Inc. v. Am. Cas. Co.*, No. 08-cv-01980-LTB-MJW, 2009 WL 3497780, at *3 (D. Colo. Oct. 26, 2009); see also *Tapia v. Lowe’s Home Centers, Inc.*, Civ. No. 07-397 ACT/RHS, 2007 WL 5369403, at *2 n.1 (D.N.M. Sept. 26, 2007) (“The term harmless is included in [Rule] 37 to cover such situations as the inadvertent omission from a [Rule] 26(a)1(A) disclosure of the name of a potential witness known to all parties.”) (quotations omitted).

Plaintiff cannot overcome this burden. Plaintiff’s late disclosure of these new experts and opinions was not some honest mistake where Plaintiff inadvertently failed to disclose a document or a fact witness known to all parties. Plaintiff’s addition of two new experts offering new theories and areas of expertise four months after initial expert disclosures were due fails the justified, harmless error test. Nor can it be credibly argued that CEMEX’s expert reports somehow opened the door to these new theories. All of the new opinions relate to topics previously discussed by Plaintiff’s experts and rely on documents that were available to Plaintiff before its initial disclosures.

The Court did not grant Plaintiff permission to file reports containing new opinions or disclose new experts—permission was limited to serve “*rebuttal* expert disclosures.” See *Docket #134* (emphasis added). And Plaintiff did not seek permission to do otherwise at this late date. To allow these new opinions and experts to stand will create undue burden for the Court, materially prejudice CEMEX’s development and presentation of its defense, and disrupt the current progression of this case.

III. CEMEX Will Be Prejudiced If Plaintiff's Rebuttal Reports Are Allowed to Stand

The prejudice caused by Plaintiff's rebuttal reports can only be cured by striking the rebuttal reports and portions thereof. CEMEX has already been prejudiced by the reallocation of scarce resources and time to address these impermissible "rebuttal" reports, and CEMEX will need additional time to complete expert discovery and the motions practice related to these reports even if the impermissible reports and portions thereof are stricken. Moreover, merely extending the expert discovery deadline (without striking the rebuttal reports) will not eliminate the ongoing prejudice to CEMEX and would "effectively absolve the [government] of any responsibility for complying with [its] discovery obligations." *Fresquez v. Baldwin*, No. 08-cv-01233-CMA-CBS, 2010 WL 5934891, at *16 (D. Colo. Dec. 15, 2010). Accordingly, CEMEX requests that the Court grant its Motion in full, and set a five week expert discovery period (the approximate amount of time currently remaining in expert discovery) beginning as of the time of this Court's order. This will allow the parties time to complete expert depositions in a manner consistent with this Court's ultimate order on this Motion.¹⁰

Should the Court decline to exclude the government's rebuttal reports as requested above, CEMEX alternatively requests leave to file sur-rebuttal reports to address Plaintiff's new opinions. While the most expeditious course would be to enforce the Federal Rules on disclosure, courts have allowed sur-rebuttal in certain situations. *See Patrick v. Deal*, No. 06-cv-00237-REB-PAC, 2007 WL 121560, at *1 (D. Colo. Jan. 11, 2007) (permitting defendants to file sur-rebuttal reports to address plaintiff's rebuttal reports containing new opinions on damages). To do otherwise would provide Plaintiff with an "unfair advantage" resulting in prejudice to

¹⁰ CEMEX notes that it intends to file a Motion to Stay Discovery while the Court decides this motion. Maintaining the current deadline of August 15 for concluding all expert discovery would require depositions to proceed before the Court has an opportunity to determine whether the challenged rebuttal opinions are stricken. This would perpetuate inefficiencies and cloud the record with potentially inadmissible testimony, leading to future delays and disputes over the record in the context of dispositive motions or trial.

CEMEX from the foreclosed opportunity to address the Plaintiff's new expert opinions. Such sur-rebuttals will be necessary here to reduce the prejudice to CEMEX created by allowing Plaintiff's new reports to remain on the record. In light of the factually and technically complex nature of the new opinions in Plaintiff's new reports, and CEMEX's need to retain at least one additional expert to address these opinions, CEMEX proposes that its sur-rebuttal reports will be due 60 days from the date the Court rules on this Motion (with a commensurate extension in the discovery schedule) if the Court denies this Motion in whole or part.

CONCLUSION

For the reasons set forth above, we request that the Court grant Defendant CEMEX's motion to strike the expert reports of Dr. Venner and Mr. Westlin in their entirety, and to strike the portions of the rebuttal reports submitted by Dr. Fox and Mr. Greer that contain new opinions, strengthened opinions and new materials, in contravention of Rule 26(a)(2)(B). A proposed order outlining the requested relief is attached. CEMEX also requests a five week expert deposition period be established as of the time of this Court's order granting this Motion.

If the Court denies this Motion in whole or in part, Defendant alternatively requests that the Court grant it 60 days to identify and designate rebuttal experts and submit sur-rebuttal reports to address these new opinions and materials (with a commensurate extension in the discovery schedule). Finally, CEMEX respectfully requests that the Court adopt an expedited briefing schedule for this Motion, specifically, allowing ten days for Plaintiff's opposition, and five days for CEMEX's reply.

Dated: July 12, 2011

Respectfully submitted,

By: /s/ Chet M. Thompson

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CERTIFICATE OF SERVICE

I hereby certify that on July 12, 2011, true and correct copies of the foregoing CEMEX INC.'S MOTION TO STRIKE NEW EXPERT REPORTS OF PLAINTIFF'S EXPERTS VENNER AND WESTLIN AND NON-REBUTTAL MATERIALS SUBMITTED BY PLAINTIFF'S EXPERTS FOX AND GREER, AND REQUEST FOR EXPEDITED BRIEFING was served electronically upon the following persons:

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